For BIR Use Only: BCS/ Item:

Republic of the Philippines
Department of Finance
Bureau of Internal Revenue

BIR Form No. **1702Q**
January 2018 (ENCS)
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Quarterly Income Tax Return

For Corporations, Partnerships and Other Non-Individual Taxpayers

Enter all required information in CAPITAL LETTERS. Mark applicable boxes with an "X". Two copies MUST be filed with the BIR and one held by the taxpayer.

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1 For [X] Calendar [ ] Fiscal
2 Year Ended *(MM/20YY)* 12 /20 26

3 Quarter [ ] 1st [ ] 2nd [X] 3rd

4 Amended Return? [ ] Yes [X] No

5 Alphanumeric Tax Code *(ATC)*
IC 055 — Minimum Corporate Income Tax (MCIT) [ ]
IC010 [ ]

Part I – Background Information

6 Taxpayer Identification Number *(TIN)*: 123 - 456 - 789 - 00000 **7** RDO Code: 000

8 Registered Name *(Enter only 1 letter per box using CAPITAL LETTERS)*: TEST TAXPAYER

9 Registered Address *(Indicate complete address. If the registered address is different from the current address, go to the RDO to update registered address by using BIR Form No. 1905)*: 1 SAMPLE STREET SAMPLE CITY

9A ZIP Code: 0000

10 Contact Number *(Landline/Cellphone No.)*: 00000000

11 Email Address: test.taxpayer@example.com

12 Method of Deductions: [X] Itemized Deductions [Section 34 (A-J), NIRC] [ ] Optional Standard Deduction (OSD) – 40% of Gross Income [Section 34(L) NIRC, as amended]

13 Are you availing of tax relief under Special Law/International Tax Treaty? [ ] Yes [X] No **13A** If yes, specify

Part II – Total Tax Payable

(DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)

14 Income Tax Due – Regular/Normal Rate *(From Part IV - Schedule 2, Item 13)*	143750
15 Less: Unexpired Excess of Prior Year's MCIT over Regular/Normal Income Tax Rate *(deductible only if the quarterly's tax due is the regular/normal rate)*	500
16 Balance/Income Tax Still Due – Regular/Normal Rate *(Item 14 Less item 15)*	143250
17 Add: Income Tax Due – Special Rate *(From Part IV - Schedule 1, Item 13)*	11700
18 Aggregate Income Tax Due *(Sum of Items 16 and 17)*	154950
19 Less: Total Tax Credits/Payments *(From Part IV - Schedule 4, Item 7)*	17100
20 Net Tax Payable / (Overpayment) *(Item 18 Less Item 19)*	137850
Add: Penalties **21** Surcharge	10000
22 Interest	5000
23 Compromise	2500
24 Total Penalties *(Sum of Items 21 to 23)*	17500
25 TOTAL AMOUNT PAYABLE / (Overpayment) *(Sum of Items 20 and 24)*	139600

We declare under the penalties of perjury that this return, and all its attachments, have been made in good faith, verified by us, and to the best of our knowledge and belief, are true and correct, pursuant to the provisions of the National Internal Revenue Code, as amended, and the regulations issued under authority thereof. (If signed by an Authorized Representative, indicate TIN and attach authorization letter)

Signature over Printed Name of President/Principal Officer/ Authorized Representative	Signature over Printed Name of Treasurer/ Assistant Treasurer	**26** Number of Attachments
Title of Signatory / TIN	Title of Signatory / TIN	1

Part III – Details of Payment

Particulars	Drawee Bank/Agency	Number	Date *(MM/DD/YYYY)*	Amount
27 Cash/Bank Debit Memo				
28 Check				
29 Tax Debit Memo				
30 Others *(specify below)*				

Machine Validation/Revenue Official Receipt Details [*if not filed with an Authorized Agent Bank (AAB)*]

Stamp of Receiving Office/AAB and Date of Receipt (RO's Signature/Bank Teller's Initial)

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Taxpayer Identification Number (TIN)	Registered Name
123456789000000	TEST TAXPAYER

Part IV – Schedules

(DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)

Schedule 1 – Declaration this Quarter	A. EXEMPT	B. SPECIAL
1 Sales/Receipts/Revenues/Fees	100000	200000
2 Less: Cost of Sales/Services	40000	80000
3 Gross Income from Operation *(Item 1 Less Item 2)*	60000	120000
4 Add: Non-Operating and Other Taxable Income	5000	3000
5 Total Gross Income *(Sum of Items 3 and 4)*	65000	123000
6 Less: Deductions	10000	20000
7 Taxable Income this Quarter *(Item 5 less Item 6)*	55000	103000
8 Add: Taxable Income Previous Quarter/s		
9 Total Taxable Income to Date *(Sum of Items 7 & 8)*	75000	118000
10 Applicable Income Tax Rate *[except minimum corporate income tax (MCIT) rate]*	0 %	10.0 %
11 Income Tax Due Other than MCIT *(Item 9 x Item 10)*	000	
12 Less: Share of Other Agencies, if remitted directly		
13 Net Income Tax Due to National Government *(Item 11 Less Item 12) (To Part II Item 17)*		11700

Schedule 2 – Declaration this Quarter **– REGULAR/NORMAL RATE**	
1 Sales/Receipts/Revenues/Fees	
2 Less: Cost of Sales/Services	
3 Gross Income from Operation *(Item 1 Less Item 2)*	
4 Add: Non-Operating and Other Taxable Income	
5 Total Gross Income *(Sum of Items 3 and 4)*	
6 Less: Deductions	
7 Taxable Income this Quarter *(Item 5 less Item 6)*	
8 Add: Taxable Income Previous Quarter/s	
9 Total Taxable Income to Date *(Sum of Items 7 and 8)*	
10 Applicable Income Tax Rate *(except MCIT rate)*	25 %
11 Income Tax Due Other than MCIT *(Item 9 multiply by Item 10)*	
12 Minimum Corporate Income Tax (MCIT) *(From Schedule 3 Item 6)*	34500
13 Income Tax Due *(Normal Income Tax in Item 11 or MCIT in Item 12 whichever is higher) (To Part II Item 14)*	143750

Schedule 3 – Computation of Minimum Corporate Income (MCIT) Tax for the Quarter/s	
1 Gross Income Regular/Normal Rate - 1st Quarter	400000
2 Gross Income Regular/Normal Rate - 2nd Quarter	500000
3 Gross Income Regular/Normal Rate - 3rd Quarter	825000
4 Total Gross Income *(Sum of Items 1 to 3)*	1725000
5 MCIT Rate	2 %
6 Minimum Corporate Income Tax *(To Schedule 2 Item 12)*	34500

Schedule 4 – Tax Credits/Payments *(attach additional sheet/s, if necessary)*	
1 Prior Year's Excess Credits	1000
2 Tax payment/s for the previous quarter/s of the same taxable year other than MCIT	2000
3 MCIT payment/s for the previous quarter/s of the same taxable year	3000
4 Creditable Tax Withheld for the previous quarter/s	4000
5 Creditable Tax Withheld per BIR Form No. 2307 for this quarter	5000
6 Tax paid in return previously filed if this is an amended return	600
Other Tax Credits/Payments *(specify below)*	
a	700
b	800
7 Total Tax Credits/Payments *(Sum of Items 1 to 6b) (To Part II Item 19)*	17100

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For Corporations, Partnerships and Other Non-Individual Taxpayers

ATC	Description	Tax Rate	Tax Base
	DOMESTIC CORPORATION		
IC 010	1. a. In General	30%	Taxable Income from All Sources
IC 055	b. Minimum Corporate Income Tax	2%	Gross Income
IC 030	2. Proprietary Educational Institutions	10%	Taxable Income from All Sources
	a. Proprietary Educational Institutions whose gross income from unrelated trade, business or other activity exceeds fifty percent (50%) of the total gross income from all sources.	30%	Taxable Income from All Sources
IC 055	b. Minimum Corporate Income Tax	2%	Gross Income
IC 031	3. Non-Stock, Non-Profit Hospitals	10%	Taxable Income from All Sources
	a. Non-Stock, Non-Profit Hospitals whose gross income from unrelated trade, business or other activity exceeds fifty percent (50%) of the total gross income from all sources.	30%	Taxable Income from All Sources
IC 055	b. Minimum Corporate Income Tax	2%	Gross Income
IC 040	4. a. GOCC, Agencies & Instrumentalities	30%	Taxable Income from All Sources
IC 055	b. Minimum Corporate Income Tax	2%	Gross Income
IC 041	5. a. National Gov't & LGU's	30%	Taxable Income from Proprietary Activities
IC 055	b. Minimum Corporate Income Tax	2%	Gross Income
IC 020	6. a. Taxable Partnership	30%	Taxable Income from All Sources
IC 055	b. Minimum Corporate Income Tax	2%	Gross Income
	7. Exempt Corporation		
IC 011	a. On Exempt Activities	0%	
IC 010	b. On Taxable Activities	*same rate as in 1a	Taxable Income from All Sources
IC 021	8. General Professional Partnership	exempt	
	9. Corporation covered by Special Law*		
IC 200	a. PEZA Free Port Zones	0% / 5%	Gross Income
IC 210	b. Microfinance Non-government Organizations (NGOs)	2%	Gross Receipts
	RESIDENT FOREIGN CORPORATION		
IC 070	1. a. In General	30%	Taxable Income from within the Philippines
IC 055	b. Minimum Corporate Income Tax	2%	Gross Income
IC 080	2. International Carriers	2.5%	Gross Philippine Billing
IC 101	3. Regional Operating Headquarters*	10%	Taxable Income
	4. Corporation Covered by Special Law*		
IC 190	5. Offshore Banking Units (OBU's)		
	a. Foreign Currency Transaction not subjected to Final Tax	10%	Gross Taxable Income on Foreign Currency Transaction not subjected to Final Tax
	b. Other Than Foreign Currency Transaction	30%	Taxable Income Other Than Foreign Currency Transaction
IC 191	6. Foreign Currency Deposit Units (FCDU's)		
	a. Foreign Currency Transaction not subjected to Final Tax	10%	Gross Taxable Income on Foreign Currency Transaction not subjected to Final Tax
	b. Other Than Foreign Currency Transaction	30%	Taxable Income Other Than Foreign Currency Transaction

*PLEASE REFER TO REVENUE DISTRICT OFFICES

Guidelines and Instructions for BIR Form No. 1702Q (January 2018 ENCS)
Quarterly Income Tax Return
For Corporations, Partnerships and Other Non-Individual Taxpayers

Who Shall File

Every corporation, partnership no matter how created or organized, joint stock companies, joint accounts, associations (except foreign corporation not engaged in trade or business in the Philippines and joint venture or consortium formed for the purpose of undertaking construction projects or engaging in petroleum, coal, geothermal and other energy operations), government-owned or controlled corporations, agencies and instrumentalities shall render a true and accurate income tax return in accordance with the provisions of the Tax Code. The return shall be filed in triplicate copies by the president, vice-president or other principal officer and shall be sworn to by such officer and by the Treasurer or Assistant Treasurer.

Every general professional partnership shall file a return of its income setting forth the items of gross income and of deductions and the names, TINs, addresses and shares of each of the partners.

When and Where to File

The corporate quarterly income tax return shall be filed with or without payment within sixty (60) days following the close of each of the first three (3) quarters of the taxable year whether calendar or fiscal year.

The return shall be filed with any Authorized Agent Bank (AAB) located within the territorial jurisdiction of the Revenue District Office where the taxpayer is required to register/which has jurisdiction over the location of the principal office of the "CORPORATION" filing the return.

In places where there are no AABs, the return shall be filed directly with the Revenue Collection Officer or duly Authorized City or Municipal Treasurer within the Revenue District Office where the taxpayer is required to register/which has jurisdiction over the location of the principal office of the "CORPORATION" filing the return.

When and Where to Pay

Upon filing of this return, the total amount payable shall be paid to the Authorized Agent Bank (AAB) where the return is filed. In places where there are no AABs, payments shall be made directly to the Revenue Collection Officer (RCO) of the RDO having jurisdiction over the location of the principal office of the "CORPORATION", who shall issue an Electronic Revenue Official Receipt (eROR) therefor.

Where the return is filed with an AAB, taxpayer must accomplish and submit BIR-prescribed deposit slip, which the bank teller shall machine validate as evidence that payment was received by the AAB. The AAB receiving the tax return shall stamp mark the word "Received" on the return and also machine validate the return as proof of filing the return and payment of the tax by the taxpayer, respectively. The machine validation shall reflect the date of payment, amount paid and transactions code, the name of the bank, branch code, teller's code and teller's initial. Bank debit memo number and date should be indicated in the return for taxpayers paying under the bank debit system.

Payment may also be made thru the epayment channels of AABs thru either their online facility, credit/debit/prepaid cards, and mobile payments.

For EFPS Taxpayer

The deadline for electronically filing and paying the taxes due thereon shall be in accordance with the provisions of existing applicable revenue issuances.

Normal Rate of Income Tax ---------- 30%

Deductions

A corporation shall choose either the itemized or optional standard (described below) deduction. It shall indicate the choice by marking with "X" the appropriate box, otherwise, the corporation shall be considered as having availed of the itemized deduction. The choice made in the return is irrevocable for the taxable year for which the return is made.

Optional Standard Deduction (OSD) – A maximum of 40% of the gross income shall be allowed as deduction in lieu of the itemized deduction. However, a corporation who availed and claimed this deduction is still required to submit its financial statements when it files its annual tax return and to keep such records pertaining to its gross income.

Itemized Deduction – There shall be allowed as deduction from gross income all the ordinary and necessary trade and business expenses paid or incurred during the taxable year in carrying on or which are directly attributable to the development, management, operation and/or conduct of the trade and business. Itemized deduction includes also interest, taxes, losses, bad debts, depreciation, depletion, charitable and other contributions, research and development and pension trust.

Minimum Corporate Income Tax (MCIT)

A minimum corporate income tax (MCIT) of two percent (2%) of the gross income is imposed upon any domestic corporation and resident foreign corporation beginning the fourth (4th) taxable year (whether calendar or fiscal year, depending on the accounting period employed) immediately following the taxable year in which such corporation commenced its business operation. The MCIT shall be imposed whenever the corporation has zero or negative taxable income or whenever the amount of minimum corporate income tax is greater than the normal income tax due from such corporation. Any excess of the MCIT over the normal income tax shall be carried forward and credited against the normal income tax for the three (3) immediate succeeding taxable years.

The computation and the payment of MCIT shall apply each time a corporate income tax return is filed, whether quarterly or annual basis.

Penalties

There shall be imposed and collected as part of the tax:

1. A surcharge of twenty-five percent (25%) for the following violations:
   a. Failure to file any return and pay the amount of tax or installment due on or before the due date; or
   b. Filing a return with a person or office other than those with whom it is required to be filed, unless otherwise authorized by the Commissioner; or
   c. Failure to pay the full or part of the amount of tax shown on the return, or the full amount of tax due for which no return is required to be filed on or before the due date; or
   d. Failure to pay the deficiency tax within the time prescribed for its payment in the notice of assessment.
2. A surcharge of fifty percent (50%) of the tax or of the deficiency tax, in case any payment has been made before the discovery of the falsity or fraud, for each of the following violations:
   a. Willful neglect to file the return within the period prescribed by the Code or by rules and regulations; or
   b. A false or fraudulent return is willfully made.
3. Interest at the rate of double the legal interest rate for loans or forbearance of any money in the absence of an express stipulation as set by the Bangko Sentral ng Pilipinas from the date prescribed for payment until the amount is fully paid: Provided, That, in no case shall the deficiency and the delinquency interest prescribed under Section 249 Subsections (B) and (C) of the National Internal Revenue Code, as amended, be imposed simultaneously.
4. Compromise penalty as provided under applicable rules and regulations.

Attachments Required

1. Certificate of Income Payments not Subject to Withholding Tax (BIR Form No. 2304), if applicable;
2. Certificate of Creditable Tax Withheld at Source (BIR Form No. 2307), if applicable;
3. Duly approved Tax Debit Memo, if applicable;
4. Certificate of Tax Treaty relief, if any;
5. Summary Alphalist of Withholding Agents of Income Payments Subjected to Withholding Tax at Source (SAWT), if applicable; and
6. Proof of other payment/s, if applicable.

The quarterly income tax return does not have to be accompanied with Account Information Form and/or Financial Statements.

Note: All background information must be properly filled out.

- The last 5 digits of the 14-digit TIN refers to the branch code
- All returns filed by an Accredited Tax Agent on behalf of a taxpayer shall bear the following information:
  A. For Individual (CPAs, members of GPPs, and others)
     a.1 Taxpayer Identification Number (TIN); and
     a.2 BIR Accreditation Number, Date of Issue, and Date of Expiry.
  B. For members of the Philippine Bar (Lawyers)
     b.1 Taxpayer Identification Number (TIN);
     b.2 Attorney's Roll Number;
     b.3 Mandatory Continuing Legal Education (MCLE) Compliance Number; and
     b.4 BIR Accreditation Number, Date of Issue, and Date of Expiry

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